

What works better is starting with your financial goals and risk profile rather than reacting to short-term market movements. Trying to time the market is rarely effective, especially in mid- and small-cap segments, where volatility is a natural part of the journey.

If your investment was linked to a specific goal, the ideal exit point is when that goal is approaching, not when markets appear uncertain.

“The key is to stay goal-driven, not emotion-driven. Exiting due to temporary market dips often means missing the rebound that typically follows,” says Amit Suri, Mutual fund distributor & founder of AUM Wealth, financial distribution organisations.

RISK MANAGEMENT

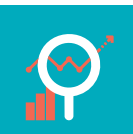
Fund managers adopt several risk management strategies to mitigate risks in small- and mid-cap funds while aiming for growth. Typically, they balance risk by diversifying across sectors, maintaining liquidity thresholds, and focussing on quality businesses with strong balance sheets to protect capital during downturns.

First, they spread investments across multiple companies and sectors to avoid overexposure to any single stock or industry. “The other tools that are used could be 1. Moving to the higher end of market caps to the extent of permitted leeway 2. Sector shuffling from high beta sectors (eg. construction, industrials, etc.) to lower beta sectors (moving from highly leveraged companies to low leverage companies can be a method to cut financial leverage risks) 3. Reducing concentration risks in the portfolio and lastly minor increases to cash levels as well,” says Sriram.

For example, in Bandhan Small Cap Fund, fund managers typically maintain around 20% allocation to cash and large-cap stocks, which helps in enhancing liquidity and reducing volatility.

The way to approach small- and mid-cap funds would be to assign a portion of portfolio to risk assets where one is

HOW TO READ KEY METRICS

TERM	MEANING	WHY IT MATTERS
 Information Ratio	Tells how much extra return the fund gives over its benchmark for the risk taken	Shows if the fund manager adds consistent value
 Downside Capture	Measures how much the fund falls when the market falls	Lower number means better protection in bad markets
 Stress Test	Checks how the fund performs in extreme market crashes	Reveals how risky or stable the fund is in tough times
 Sharpe Ratio	Compares return with total risk taken	Higher number means better risk-adjusted performance
 Rolling Return	Looks at returns over overlapping time periods (like 3-year or 5-year)	Shows how steady the fund's performance is over time

able to carve out a certain section where the investor is able to tolerate a higher risk-return trade-off and has no immediate need for that money.

“These can then be earmarked for alpha creation in the long run. SIP is a better choice for a salaried individual wanting to commit a certain sum each month to smoothen out market volatilities, while a lump sum may be better for someone realigning the portfolio to build in a certain risk in the quest for better returns,” says Sriram.

Mid- and small-cap funds can thus play a crucial role in a long-term wealth creation strategy for retail investors, particularly when approached with discipline and the right allocation strategy. However, these categories should be viewed as satellite allocations, complementing core holdings in large-cap or diversified funds.

“Typically, 15–25% of the equity portfolio can be allocated to mid and small-cap funds, depending on the investor’s risk appetite and investment horizon,” says Basu.

For systematic investment plan (SIP) investors, these funds are particularly effective. Regular monthly investments help average out costs across market cycles.

In fact, Basu says, analysis of rolling returns data shows that if an investor had remained invested in mid and small-cap indices for over